

NVIDIA Corporation

NVDA NASDAQ

Buy	\$197.15 ▲ 0.33%	12M Price Target \$235.00	52-Week Range \$164.07 – \$236.54	Market Cap \$4.77T
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NVDA: Credit Jitters Meet OpenAI Financing Bombshell

WHAT HAPPENED

- NVDA is down ~7% in a week (\$212 → \$197) and the culprit looks like the report that NVIDIA's credit default swap spreads spiked — that's the price of insuring against NVIDIA not paying its debts, and when it jumps, it means bond traders are nervous. The trigger: news NVDA is in talks to help *finance* OpenAI's massive Ohio data center buildout. Translation: NVDA might be lending money to its biggest customer so they can buy NVDA chips. That's called vendor financing and it's the exact playbook Cisco ran in 1999 — Wall Street remembers.
- Volume today is tiny (45M vs 150M yesterday) which tells me the selling has exhausted itself short-term. Options flow is actually leaning bullish (Put/Call 0.85) with a huge unusual call buy at the \$195 strike — someone is betting this dip gets bought.

WHY IT MATTERS

Here's the real story: NVDA isn't struggling to sell chips — they're now essentially becoming a bank for the AI ecosystem, and that changes the risk profile. If OpenAI (and others like CoreWeave) succeed, NVDA gets paid twice — chip revenue AND interest. If AI monetization disappoints, NVDA is holding the bag on billions in customer loans. This is why credit markets are twitching before equity markets are. Watch for: any hyperscaler (Microsoft, Meta, Google) trimming 2026 capex guidance — that would confirm the bears' thesis that AI demand is being propped up by circular financing.

POLICY & POLITICAL WATCH

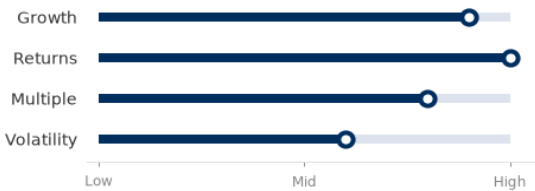
Two things to track right now: (1) The Trump administration's H2O chip export policy toward China is fluid — NVDA got permission to resume some sales, but any tightening in the next tariff round could hit \$10-15B of annual revenue. (2) Kevin Warsh's first Fed meeting is this week, and if he surprises with a rate HIKE (unusual but he's a hawk), high-multiple growth stocks like NVDA get hit hardest because higher rates make future earnings worth less today. The CHIPS Act 2.0 discussions in Congress are a longer-term tailwind — more domestic fab subsidies mean NVDA's supply chain gets de-risked.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$197.15
12M Price Target	\$235.00
Upside / (Downside)	+19.2%
Market Cap	\$4.77T
FY2026E Revenue	\$208M
FY2027E Revenue	\$265M
FY2026E EPS	\$4.55
FY2027E EPS	\$5.90
Fwd P/E	43.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$215.00	\$202.00	\$185.00
6 Months	\$245.00	\$220.00	\$175.00
1 Year	\$275.00	\$235.00	\$160.00
2 Years	\$340.00	\$275.00	\$150.00
5 Years	\$500.00	\$350.00	\$140.00
10 Years	\$800.00	\$500.00	\$120.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples (+3.9%), Healthcare (+2.6%), Materials — this is classic defensive rotation, meaning money is getting nervous and hiding in boring stuff that pays dividends. Not a great tape for high-beta AI names.

COOLING OFF: Communication Services is flat-to-negative on 5-day, and space/growth names are getting hit (SpaceX, Rocket Lab down hard). Speculative growth is out of favor this week.

ROTATION WATCH: Money is fleeing high-multiple tech into defensives ahead of the Warsh Fed meeting — traders are hedging against a hawkish surprise. If Warsh holds rates steady, expect a snap-back rally in NVDA and megacap tech.

RELATED PLAY: If you believe the AI capex story, the picks-and-shovels-of-the-picks-and-shovels are data center power (Vistra, Constellation, GE Vernova) and cooling (Vertiv). They benefit whether NVDA or a competitor wins.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning share in custom AI silicon for hyperscalers — the exact threat to NVDA's moat.
- TSM (Taiwan Semi): Every AI chip on earth is made here, so they win regardless of which chip designer wins.

NVDA CONTEXT: NVDA is lagging its peer group this week, which is unusual — it's usually the leader. That tells me this pullback is NVDA-specific (credit concerns, OpenAI financing) rather than a broad AI selloff. That's actually bullish — idiosyncratic drops in market leaders tend to get bought.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$190-197 zone; add aggressively under \$185

Time Horizon: 12-24 months

Thesis Invalidation: Data center revenue growth slows below 25% YoY, or OpenAI/hyperscaler capex plans get cut

Hedging: Long-dated puts or pair with a short in a more speculative AI infrastructure name